GOVERNMENT OF INDIA

Ministry of Labour & Employment

Empowering India's Workforce

SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI MANSUKH MANDAVIYA

HONORABLE MINISTER,

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DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

A skilled, productive, and protected workforce is fundamental to India's economic progress and social development. The Ministry of Labour and Employment plays a pivotal role in promoting decent work, strengthening labour welfare, enhancing employment opportunities, supporting skill development, improving industrial relations, and creating an enabling environment for sustainable economic growth.

The Chamber of Commerce and Industries of India (CCI India) recognizes that India's demographic advantage can be fully realized through stronger collaboration between government, industry, educational institutions, employers, and workforce development organizations. Through policy advocacy, industry engagement, employment facilitation, entrepreneurship promotion, capacity building, and workforce development initiatives, CCI India remains committed to supporting the Ministry's vision of creating an inclusive and future-ready labour ecosystem.

This Knowledge Paper provides comprehensive insights into the Ministry's strategic priorities, labour reforms, employment policies, social security initiatives, emerging workforce trends, and opportunities for collaboration. It explores key areas including future skills, digital employment platforms, MSME workforce development, women workforce participation, gig economy, industrial relations, occupational safety, and labour market innovation.

The publication serves as a valuable reference for policymakers, employers, industry associations, investors, entrepreneurs, educational institutions, research organizations, development agencies, and workforce professionals seeking to strengthen India's employment ecosystem. Through collaborative action and knowledge sharing, it aims to promote quality employment, enhance workforce productivity, and support inclusive economic development.

As India moves towards becoming one of the world's largest economic powers, investment in human capital will remain central to sustainable progress. CCI India looks forward to working alongside the Ministry of Labour and Employment in fostering a resilient, skilled, and globally competitive workforce.

Munindra Kumar
Director General
CCI India

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PREFACE

The Ministry of Labour and Employment (MoLE) stands at the crossroads of India's most consequential development imperatives equitable economic growth, inclusive employment generation, and the protection of the dignity of labour. In a nation of 1.44 billion people where over 500 million constitute the labour force, the policy architecture, institutional capacity, and implementation ecosystem surrounding labour and employment are not merely administrative concerns; they are foundational to whether India realises its Viksit Bharat 2047 aspirations or allows structural inequality to widen the social contract.

India is presently navigating a defining economic inflection point. The country is projected to become the world's third-largest economy by 2030, with GDP potentially reaching USD 7–8 trillion. Yet this macroeconomic ascent cannot be sustained without proportionate improvements in workforce formalisation, social protection depth, occupational safety standards, and skills alignment with the Fourth Industrial Revolution. The Ministry of Labour and Employment is the sovereign institution entrusted with stewarding this transformation across organised and unorganised sectors, across urban and rural labour markets, and across the full continuum from wage employment to gig work to entrepreneurship.

This Knowledge Paper has been conceived and prepared by CCI India the Chamber of Commerce and Industry of India as a strategic advisory instrument. It is designed to inform, influence, and activate high-level dialogue between the Ministry, industry leaders, policymakers, development finance institutions, and international organisations. The paper synthesises institutional analysis, sector data, global benchmarking, gap identification, and opportunity mapping into a single, publication-ready strategy document.

The purpose of this paper is threefold: first, to provide a rigorous and analytically credible assessment of the Ministry's institutional landscape, policy architecture, and execution challenges; second, to map the strategic collaboration opportunities available to CCI India as a policy facilitator, implementation partner, knowledge repository, and ecosystem builder; and third, to propose a concrete, time-bound, and KPI-anchored strategic roadmap for CCI India's engagement with the Ministry over the period 2026–2031.

This paper is intended for presentation to Union Ministers, Secretaries to the Government of India, NITI Aayog, senior bureaucrats, industry captains, development agencies, and international institutions. It is structured to enable immediate strategic action while simultaneously building the long-term institutional architecture required for transformative impact.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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SECTION 1: INTRODUCTION TO THE MINISTRY OF LABOUR AND EMPLOYMENT

1.1 Constitutional and Statutory Mandate

The Ministry of Labour and Employment derives its foundational authority from India's constitutional framework, which places 'labour' as a concurrent subject under the Seventh Schedule permitting both the Union and State governments to legislate on labour matters. The Entry 22 to 24 in the Concurrent List specifically covers trade unions, industrial and labour disputes, welfare of labour, and conditions of work. This concurrent jurisdiction creates a complex, multi-layered governance environment in which the Ministry must simultaneously legislate at the national level while coordinating implementation across 28 States and 8 Union Territories.

The Ministry's statutory mandate encompasses the entire spectrum of labour market governance: the creation and enforcement of a unified labour code architecture, the administration of social security systems for organised and unorganised workers, the facilitation of employment generation and job placement services, the promotion of industrial relations and workplace harmony, the enforcement of minimum wages and conditions of service, and the oversight of occupational safety, health, and working conditions. The passage of the four Labour Codes Code on Wages (2019), Industrial Relations Code (2020), Code on Social Security (2020), and Occupational Safety, Health and Working Conditions Code (2020) represents the most ambitious statutory consolidation in India's post-independence labour history.

1.2 Institutional Evolution and Governance Role

The Ministry traces its institutional lineage to the colonial-era Department of Labour, established in 1937 under the Government of India Act, 1935. Post-independence, it was reconstituted as a full-fledged Ministry in 1952, reflecting the newly independent India's commitment to protecting workers' rights in a rapidly industrialising economy. Over seven decades, the Ministry has evolved through successive waves of reform from the protective legislation era of the 1950s–1970s, through the liberalisation-era adjustments of the 1990s, to the current consolidation and formalisation drive of the 2020s.

In its contemporary governance role, the Ministry functions as India's primary institutional interface between capital and labour, between the formal and informal economy, and between national policy and state-level implementation. It administers over 40 central Acts (pre-codification), oversees the functioning of the Employees' Provident Fund Organisation (EPFO) one of the world's largest social security organisations and the Employees' State Insurance Corporation (ESIC), and anchors the National Career Service (NCS) portal, which is the nation's largest public employment exchange platform.

1.3 National Significance in the Viksit Bharat Context

The Ministry of Labour and Employment holds a position of existential significance in the Viksit Bharat 2047 roadmap. Three structural imperatives converge on its mandate: India's demographic dividend (60% of the population under 35), the formalisation imperative (only 10–11% of the workforce is in the formal economy), and the productivity transformation agenda (aligning India's labour force with global value chains and Industry 4.0 requirements). The Ministry is the institutional linchpin for translating these imperatives into actionable policy, regulatory frameworks, and programmatic interventions. Its decisions reverberate across 530 million workers, 63 million enterprises, and the entire social security architecture of the Indian Republic.

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